

Marvell Technology, Inc.

MRVL NASDAQ

Buy

\$237.44 ▲ 5.34%

12M Price Target  
\$285.00

52-Week Range  
\$66.14 – \$329.88

Market Cap  
\$213.39B

MRVL: Custom AI Silicon Story Reignites, Stock Pops 5%

WHAT HAPPENED

- MRVL ripped +5.3% today (and it's up ~15% in a week) — CEO Matt Murphy went public saying "trust with big tech" is what's driving the surge. Translation: hyperscalers (Amazon, Microsoft, Meta) are doubling down on Marvell for their custom AI chips, and the market is finally believing the story again after months of "is Broadcom eating their lunch?" worries.
- Options flow is screaming bullish — put/call ratio of 0.37 (way more people betting up than down) and unusual call buying at \$250 and \$255 strikes tells you smart money thinks this run has more room before September expiry.

WHY IT MATTERS

The "Marvell as the anti-Broadcom" narrative is the real story here — investors had been treating MRVL like the losing horse in the custom silicon race, but today's move suggests that's flipping. If Murphy is publicly talking about hyperscaler trust, that's usually code for "we just re-upped or expanded a major contract" — watch for a formal announcement in coming weeks. The bigger picture: the Trump administration's push for domestic chip design plus continued CHIPS Act funding disbursements creates a policy floor under US-based fabless designers like MRVL. This isn't just an AI trade anymore — it's an AI trade with a political tailwind behind it.

POLICY & POLITICAL WATCH

The key policy angle right now is the ongoing tightening of US export controls on advanced chips to China — Commerce Department is actively reviewing whether custom AI accelerators fall under the same restrictions as Nvidia's H20. If yes, MRVL takes a small revenue hit (China is ~40% of total sales but mostly older networking, not AI silicon), but if no, they get a competitive moat as Chinese hyperscalers can't buy the equivalent domestically. Also worth watching: the reauthorization debate around CHIPS Act Phase 2 funding — any signal that Congress extends design/R&D tax credits directly boosts MRVL's earnings power.

IS IT EXPENSIVE?

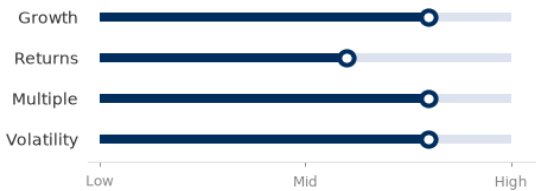
At ~\$237, you're paying roughly 55x next year's earnings — that's expensive, but investors are paying that because they think earnings could double again in FY28 as custom AI chips ramp. Compared to Broadcom at ~35x and Nvidia at ~40x, MRVL trades at a premium because it's earlier in its AI ramp — meaning more growth ahead but also more that has to go right. The valuation is justified IF (big if) the custom silicon deals with Amazon and Microsoft scale as expected; if they slip a quarter, the multiple compresses fast.

WHAT COULD GO WRONG

Key Data

|                     |           |
|---------------------|-----------|
| Price (USD)         | \$237.44  |
| 12M Price Target    | \$285.00  |
| Upside / (Downside) | +20.0%    |
| Market Cap          | \$213.39B |
| FY2026E Revenue     | \$8,200M  |
| FY2027E Revenue     | \$10,800M |
| FY2026E EPS         | \$2.85    |
| FY2027E EPS         | \$4.20    |
| Fwd P/E             | 83.3x     |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$260.00  | \$240.00  | \$215.00  |
| 6 Months  | \$310.00  | \$270.00  | \$195.00  |
| 1 Year    | \$360.00  | \$285.00  | \$180.00  |
| 2 Years   | \$450.00  | \$340.00  | \$160.00  |
| 5 Years   | \$650.00  | \$450.00  | \$200.00  |
| 10 Years  | \$900.00  | \$550.00  | \$180.00  |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Semiconductors and AI infrastructure — the Trefis notes about both Nvidia and Broadcom in today's news flow show money is still hunting AI winners. Energy popped today too, likely tied to power-demand-for-AI thesis (data centers need juice).

**COOLING OFF:** Healthcare (-3% on the week) is bleeding as drug pricing rhetoric intensifies, and Comm Services is soft on ad-market concerns.

**ROTATION WATCH:** Money is rotating from defensive (healthcare, staples) into AI-adjacent tech and energy. The read-through: investors think AI capex is durable through 2027, not peaking.

**RELATED PLAY:** If you believe the MRVL story, the power/cooling infrastructure names (Vertiv, Eaton) and specialty semi-equipment (ASML, KLA) benefit from the same wave without the customer-concentration risk.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the king — analysts asking "is there fuel left?" which usually means there is; AI demand isn't cooling.
- AVGO (Broadcom): Actually slipped today per Trefis on "longer revenue schedule" concerns — which is EXACTLY why MRVL popped (money rotating from Broadcom to MRVL).

**MRVL CONTEXT:** MRVL is leading its peer group today and this week — a rare occurrence over the past year. That's a legitimate momentum signal, not just noise. When a laggard starts outperforming its stronger peers, it usually means the narrative is shifting, and that shift can persist for months.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

**CONVICTION:** 7/10 — Bullish but not pounding the table; the setup is good but the stock has already run 15% in a week, so chasing here is risky.

**POSITION SIZE:** 3-5% of portfolio — enough to matter if the AI story keeps working, small enough that a customer-loss surprise doesn't wreck you.

**ENTRY POINTS:** I'd wait for a pullback to \$215-225 rather than chasing at \$237. If you must buy now, scale in — a third here, a third on a 5% dip, a third on next earnings.

**TIME HORIZON:** 12-24 months — you're waiting for two catalysts: formal hyperscaler contract confirmation and FY27 revenue guidance that shows the AI ramp.

**WHEN TO BAIL:** If they lose a major custom silicon customer, if AI capex from hyperscalers gets cut in 2027 budgets, or if the stock breaks \$195 on heavy volume — that would signal the story is broken.

**HEDGING:** Simplest hedge is buying protective puts at \$200 for downside insurance, or just trimming 25% of your position after a 20%+ rip like this one to lock in gains.